

City of Gallatin, Tennessee
Notes to Financial Statements
For the Fiscal Year Ended June 30, 2023

Note 1. Summary of Significant Account Policies

The City of Gallatin's financial statements are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The more significant accounting policies established in GAAP and used by the City of Gallatin are discussed below.

Reporting Entity

The City of Gallatin, Tennessee (the City) operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, sanitation collection and disposal, stormwater, recreation, water and sewer, electricity, gas, and general administrative services. As required by GAAP, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related Organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (the Housing Authority) and the Industrial Development Board of Gallatin, Tennessee (the IDB), but the City's accountability for these organizations does not extend beyond making the appointments. Board members of the Housing Authority and the IDB are appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority and the IDB, and cannot impose its will upon the operations of the Housing Authority and the IDB. Accordingly, the Housing Authority have not been included in the reporting entity.

Joint Venture

The City is a participant in the Sumner County Resource Authority (the Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville, and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

Government-wide and Fund Financial Statements

Government-wide Financial Statements

The government-wide financial statements (the statement of net position and the statement of activities) report information on all of the activities of the City. As a rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu-of-taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given program are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific program. Program revenues include: 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given program, and 2) operating or capital grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Taxes and other items not included among program revenues are reported instead as general revenues.